

Your mortgage rate is the interest rate on your loan, and this little percentage can make all the difference in your purchasing power. The lower the rate, the lower your monthly payment. If a buyer has a 4 percent interest rate on a thirty-year fixed-rate \$300,000 mortgage loan, they will be paying roughly \$1,400 per month with \$1,000 of that initial payment going straight to interest. If they instead snag a 3 percent interest rate, their monthly payments will be roughly \$1,250 with only \$750 of their initial payment going toward interest. The overall payment is lower because less cash is flushed down the metaphorical interest-rate toilet.

Interest rates can change by the hour, since they're based on economic factors like the bond market and the Treasury rate—but these movements are totally out of your control. What you *can* change are financial factors like your credit score, since your lender will assess your financial situation to determine how risky the loan is. The higher the risk, the higher the mortgage rate.

Interest rates vary from lender to lender, so it's important to shop around to make sure you're getting the best rate possible. APR and closing costs can vary dramatically from lender to lender, so you should start by making a list of multiple lenders so you can ask each what their rates are. There are three main ways to build this list:

- Ask around. Who did your friends use when they bought their first house? Does your agent have a recommendation? Can any of your coworkers point you in the right direction? Word of mouth is one of the most reliable ways to source your lender, since you get to hear from a real person about the quality of their experience.
- Do an internet search. Though it may sound sketchy, even experienced investors have found their best lenders on sites like online loan marketplaces.
- Go local. Credit unions and small local banks can have surprisingly great rates.

If you pursue all three strategies, you should wind up with a decent list of lenders in hand. Then it's time to narrow down that list to a single winner.